

Fixed Income & Government Securities Policy

PRODUCT SUMMARY (FOR ADVISORY SYSTEMS)

Product Type: Fixed Income & Government Securities

Primary Purpose: Capital preservation and regular income generation

Risk Level:

- **Low:** Treasury Bills (T-Bills) and Government Securities (G-Secs)
- **Medium:** High-quality Corporate Bond Funds and PSU Bonds
- **High:** Credit Risk Funds or Lower-rated Corporate Debts

Suitable For:

- **Capital Preservation:** Investors seeking safety of principal, particularly through sovereign-backed instruments
- **Regular Income:** Investors looking for periodic interest (coupon) payments
- **Diversification:** Reducing overall portfolio volatility

Not Suitable For:

- **High Growth Seekers:** Returns are generally lower than equity over long periods
- **Short-term Speculation:** Long-duration bonds are sensitive to interest rate fluctuations

Key Risks:

- **Interest Rate Risk:** Bond prices fall when market interest rates rise
- **Credit/Default Risk:** The risk that a corporate issuer fails to pay interest or principal
- **Liquidity Risk:** Potential difficulty in selling corporate bonds in the secondary market prior to maturity

Advisory Restriction:

- **No Fixed Return Guarantees:** Staff must not guarantee returns as market prices fluctuate
- **Credit Quality Disclosure:** RMs must clearly explain credit ratings (e.g., AAA vs. AA) to clients

1. Overview of Bonds and Government Securities

Bonds and Government Securities (G-Secs) are debt instruments where the investor lends money to an entity (the Government or a Corporation) for a defined period at a fixed or floating rate of interest.

1.1 Types of Securities Covered

- **Government Securities (G-Secs):** Issued by the Central or State Governments. They carry the "Sovereign Guarantee" and are considered the safest in terms of credit risk.
- **Treasury Bills (T-Bills):** Short-term debt instruments issued by the Government with maturities of 91, 182, or 364 days.
- **Corporate Bonds:** Issued by private or public sector companies to raise capital. These carry varying degrees of credit risk based on the issuer's financial health.
- **Public Sector Undertaking (PSU) Bonds:** Issued by government-owned corporations, generally offering a balance of safety and slightly higher yields than G-Secs.

2. Investment Amounts and Tenures

2.1 Minimum and Typical Investment

- **G-Secs/T-Bills:** Retail investors can typically participate via the RBI Retail Direct platform or the Bank's exchange desk with a minimum investment of **₹10,000**.
- **Corporate Bonds:** Minimum investment amounts vary significantly. For public issues, it may be as low as **₹1,000 to ₹10,000**, while private placements often require a minimum of **₹1 Lakh to ₹10 Lakhs** as per SEBI regulations.

2.2 Interest Payment Structures

- **Coupon-Bearing Bonds:** Pay interest at regular intervals (monthly, quarterly, semi-annually, or annually).
- **Zero-Coupon Bonds:** Do not pay regular interest but are issued at a discount and redeemed at face value (e.g., T-Bills).
- **Floating Rate Bonds:** The interest rate is linked to a benchmark (like the Repo rate) and resets periodically.

3. Eligibility and Suitability Criteria

3.1 Eligibility Requirements

- **Residency:** Resident Indians, HUFs, and NRIs (on a non-repatriable or repatriable basis, subject to FEMA).
- **KYC:** A status of "KYC Validated" is mandatory. PAN and a linked Demat account are required for the holding of these securities.
- **Age:** Minors (via Guardians), Adults, and Senior Citizens.

3.2 Suitability Mapping

Fixed-income securities must be recommended based on the client's **Investment Horizon** and **Risk Appetite**:

- **Conservative (Low Risk):** Focus on T-Bills, G-Secs, and AAA-rated PSU Bonds.
- **Moderate (Medium Risk):** AA-rated Corporate Bonds or Long-duration G-Secs (subject to interest rate sensitivity).
- **Aggressive (High Risk):** Lower-rated "High Yield" bonds (Credit Risk strategies).

4. Explanation of Risks

Investors must be educated that "low risk" does not mean "no risk."

4.1 Interest Rate Risk

Bond prices have an inverse relationship with interest rates.

- If market interest rates **rise**, the price of existing bonds **falls**.
- If market interest rates **fall**, the price of existing bonds **rises**.
- *Policy*: Longer-tenure bonds are more sensitive to these fluctuations than shorter-tenure bonds.

4.2 Credit Risk (Default Risk)

The risk that the issuer may fail to pay interest or repay the principal.

- **Credit Ratings**: RMs must explain the rating scale (AAA being the highest safety, D being default).
- *Policy*: The Bank shall not recommend bonds rated below 'A' to retail customers unless they are classified as "Aggressive/Sophisticated" investors.

5. Liquidity and Exit Considerations

Unlike bank fixed deposits, exiting a bond before maturity is subject to market conditions.

- **Secondary Market**: Bonds can be sold on the stock exchange; however, liquidity can be thin for certain corporate bonds, potentially leading to a sale at a price lower than the face value.
- **Exit Loads/Costs**: While there is no "penalty" like an FD, brokerage and capital losses (if interest rates have risen) may apply.
- **Holding Period**: Customers should be advised to align the bond's tenure with their financial goal to avoid the need for premature secondary market sales.

6. RM Advisory and Disclosure Responsibilities

Relationship Managers (RMs) act as the primary point of disclosure.

6.1 Mandatory Disclosures

RMs must provide the "**Key Information Document**" (**KID**) which highlights:

- The **Yield to Maturity (YTM)** rather than just the coupon rate.
- The **Credit Rating** and any recent upgrades/downgrades.
- The **Call/Put Options** (whether the issuer can repay early or the investor can demand early repayment).

6.2 Prohibited Conduct

- **No Capital Guarantee:** RMs shall not state that "principal is guaranteed" for corporate bonds. Only G-Secs carry a sovereign guarantee.
- **No Comparison to FDs:** Comparing bonds to Bank FDs without highlighting the lack of deposit insurance (DICGC) for bonds is prohibited.

7. Monitoring and Holding-Period Guidelines

- **Credit Watch:** The Bank's research team must monitor the financial health of corporate issuers. Any rating downgrade below 'Investment Grade' (BBB-) must be communicated to holders within 48 hours.
- **Duration Monitoring:** For portfolios sensitive to interest rates, the Bank shall provide a "Modified Duration" report to help clients understand potential price volatility.

8. Compliance, Audit, and Reporting Rules

8.1 Record Keeping

Under PMLA and SEBI norms, the Bank shall maintain records of:

- Investor Suitability Assessments.
- The specific Prospectus or Information Memorandum provided to the client.
- Voice recordings or digital logs of the "Consent to Trade."

- Records must be retained for **8 years**.

8.2 Audit Oversight

A quarterly "Thematic Audit" will be conducted to ensure that high-risk corporate bonds are not being concentrated in senior citizen portfolios.

9. SEBI-Compliant Disclosures

All transactional documents must carry the following:

- *"Investment in debt securities involves risks including those related to credit, interest rate, and liquidity."*
- *"Past performance of the issuer or similar securities is not a guarantee of future performance."*
- *"Taxation on interest and capital gains shall be as per the prevailing Income Tax Act, 1961."*

10. Standard Banking Disclaimer

The Bank acts as an intermediary/distributor and not as an issuer of these bonds. Bonds and G-Secs are NOT bank deposits and are NOT covered by the Deposit Insurance and Credit Guarantee Corporation (DICGC). The value of investments may fluctuate based on market conditions. The Bank earns a fee/commission for these services, which is disclosed separately. Investors must read the Offer Document/Prospectus carefully before investing